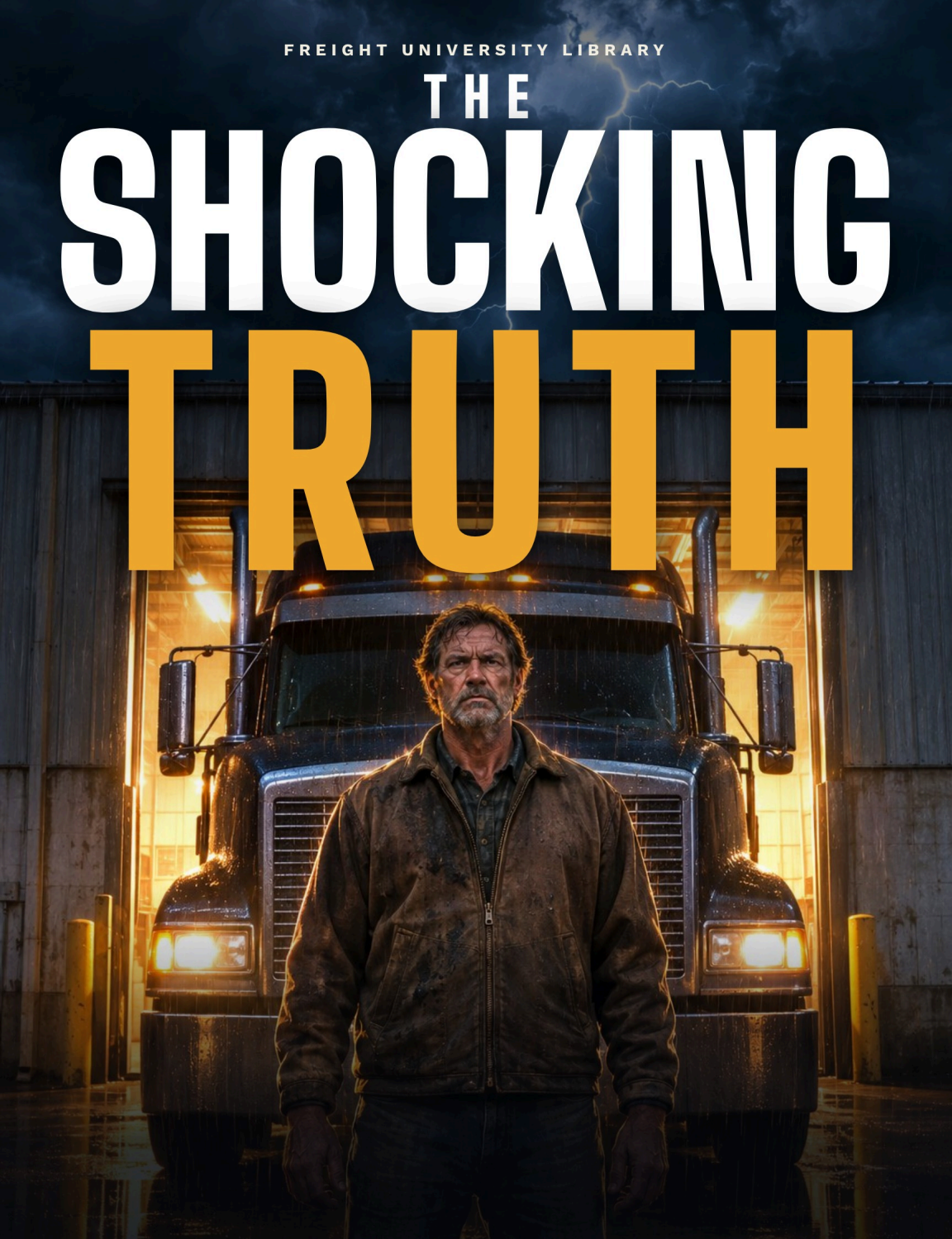
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THE SHOCKING TRUTH



Why Every Truck Driver Should Be a Freight Broker and How to Remedy Your Situation

MICHAEL THOMAS

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BEFORE YOU START

You back into the docks. You shake the hands.

That's the whole book, right there in two short sentences. Everything else is me explaining what to do about it.

I've spent 25 years in freight, and I've watched people pay real money trying to get what you get for free every day. A new broker buys a shipper list and sits in a chair calling strangers. He's trying to reach the person who signs for the freight. You saw that person this morning. You know where she parks. You know the plant runs slow on Fridays and the second door's the one that works.

You've got access. Most people in this business never get it, and most drivers never notice they have it.

I'm not going to tell you this is easy, and I'm not going to tell you what you'll make. I used to see books like that, and I don't care for them. I'm going to tell you what a broker is, what it takes, what it costs, where people get in trouble, and how to start from where you're sitting right now.

Read it once for the idea. Read it again for the plan. Then keep it in the truck.

One thing before we go. You'll meet a driver named Ray in these pages. Ray's made up, and so are his loads and his numbers, so I can walk you through the work without talking about anybody's real business. The five drivers in Chapter 14 are different. Those are examples I've dealt with.

All right. Let's go to work.



PART ONE

THE CROSSROADS

You're already standing in the room. Let's talk about what that's worth, and what it'll cost you to use it.

CHAPTER 1

THE HANDSHAKE YOU'RE GIVING AWAY

The shocking truth, stated plainly

Let's start with Ray.

Ray's got his own authority and one 53-foot dry van, and he runs out of Memphis. On a Tuesday morning he's backed into a plant, waiting on paper. The shipping manager walks out, and they talk a minute. She says, "I've got three more going to Atlanta this week and I can't find anybody I trust."

Ray says, "That's rough." He signs his bill of lading and pulls out.

Somewhere that afternoon, a broker gets those three loads. He's never been to that plant. He doesn't know the second door's the one that works. He found a truck on a load board, and when he's done he'll keep the difference between what she pays and what the truck hauls it for.

Ray's the one who was standing there.

Here's the shocking truth. The person at the front line of freight is the best one positioned to broker it, and that person almost never does.

Listen to what you've got that a new broker doesn't:

- You know who runs the dock, by name.
- You know what freight comes out of that building, and how often.
- You know what a load's really like, because you've hauled it.
- You know what a good carrier looks like, because you are one.
- People talk to you. They don't talk to the fortieth caller of the day.

A brokerage can sit behind $375,000 worth of computer screens and still not know the name of the person who runs that dock. You know it.

> **Why waste that?**

WHAT A BROKER ACTUALLY IS

Let's get the word straight, because a lot of drivers have it wrong.

A freight broker arranges for an authorized carrier to haul somebody else's freight, and gets paid for arranging it. The federal definition's in 49 CFR 371.2. A broker doesn't haul the load. A broker doesn't own the load. A broker puts the shipper and the carrier together and stands in the middle of the deal.

The money's simple. What the shipper pays, minus what the carrier agrees to haul it for. What's left over is the broker's commission.

Here's one of Ray's, made up. A shipper agrees to pay $1,400. A carrier agrees to haul it for $1,250. Ray's commission is $150.

That's all it is. Two deals. One with the shipper and one with the carrier. No shipper, no load. No carrier, no commission.

YOU MAY NOT LIKE BROKERS

I know. I've heard it for 25 years. Truck drivers are mad at us because we are doing what they don't do.

I've been on your side of it, too. I moved a load out of Utah years ago, for a mining company. I couldn't go direct. I had to go through the broker. It was a $2,000 load and he'd only give it to me for $1,500. He kept $500, and he was proud of it. That's twenty-five percent. Too much. Two hundred dollars, ten percent, would have been fine, and the rest belonged with the carrier.

So you've got every right to be mad at a broker like that. Now invoke your thinking for a minute. Who'd handle that load better, him or somebody who's been in your seat?

That's the reason for this book. I'd like more brokers who've smelled diesel at four in the morning.

BOTTOM LINE

- You stand where brokers spend years and thousands of dollars trying to get to.
- A broker gets paid the difference between two deals: what the shipper pays and what the carrier hauls it for.
- The shocking truth is how few drivers ever use what they've got.

CHAPTER 2

WHAT THE TRUCK IS COSTING YOU

2

An honest look at the seat you're sitting in

You already know this chapter. I'm going to say it anyway, because most people don't add it up until something breaks.

Your income's tied to a wheel turning. A human being can only legally drive so many hours, so the money you make driving has a ceiling on it. It moves a little with the rate per mile. It doesn't move much.

If you own the truck, you've got a business with one point of failure. The day that truck's down, the income stops and there's a repair bill on top. I've met a lot of drivers who were great behind the wheel and tanked when they went into business. Being able to back it in on a dime doesn't make you good at business, and eleven hours a day in the seat doesn't leave much time to learn.

And it's hard on the body. Sitting all day, truck-stop food, broken sleep. Some day you may not be able to do it, or you may not want to. What's the plan for that day?

WHAT CHANGES WHEN YOU LEARN THE OTHER SIDE

I'm not telling you to walk away from driving. Plenty of people love it, and I don't blame them. Here's what changes when you learn to broker.

You get paid on a deal instead of a mile. A load you brokered doesn't care whether your truck's running that day.

You can say yes. Remember Ray and the three loads to Atlanta? With broker authority or an agent agreement, he has an answer besides "That's rough."

You start to see the whole board. You'll understand why a rate is what it is, why a shipper does what she does, and why that broker called you at four o'clock on a Friday. You'll be a better carrier for it, even if you never broker a hundred loads.

You've got something that doesn't need your back. The knowledge you carry about freight is worth something after you've parked the truck.

WHAT IT WON'T DO

It won't make you rich because you bought a bond. I've seen that movie. It won't give you your evenings back right away, either. For a while you'll have two jobs and one body. We'll talk about that in Chapter 10.

And some people who start don't make it. A brokerage is a real business with real money going out before money comes in. Anybody who tells you different is selling something.

So let's look at what the license really is.

BOTTOM LINE

- Driving income has a ceiling, and one truck is one point of failure.
- Brokering gets you paid on the deal, and gives you an answer when a shipper needs more than you can haul.
- It's a real business. It takes time and cash, and some people don't make it.

CHAPTER 3

WHAT A LICENSE IS, AND WHAT IT ISN'T

3

A license doesn't pay you. A deal does.

Here's the truth I teach every student. A license doesn't pay you. A deal does.

Broker authority is permission. It gives you the legal right to be paid for arranging a load between a shipper and a carrier. That's what you're buying. Unless you know how to make deals that bring in steady money, it sits there unused. Or worse, it costs you money while you wait.

The industry teaches this backward. Buy the bond, call shippers, scramble for trucks. A person does that and now he's got a certificate, a bill for the bond and a list of strangers who don't want to talk to him.

We do it the right way round. Learn the profession. Learn the flow of a load. Build real capacity, which means trucks you can count on. Then go to the shipper with something true to say.

WHY I STILL SAY GET ONE

You'd think, with all that, I'd tell you to wait. I do tell you to learn first. But here's how I look at it. Everyone should have a broker's license in their pocket.

Why? Two reasons.

The first one's the day a shipper turns to you and asks, "Do you have other trucks?" I want you to be able to say, "I'm also a licensed property broker, and I can bring in six or seven more." That's a different conversation from "Let me ask around."

The second one's time. Broker authority's like wine, the older it gets, the better. People who look you up can see how long you've held it. The day you need that history is too late to start it.

Now, it does cost money to hold, and you shouldn't take on that cost until you've thought it through. There's another way in, too, and for a lot of drivers it's the better first step. You can join a firm. We'll get to that in Chapter 5.

YOU'LL HEAR ME SAY PLSP

I used to tell people I'm a freight broker. Today I say I'm a Professional Logistics Service Provider, a PLSP. The authority gives you the right to move freight in the middle. It doesn't cover what happened before the load or what happens after it. The research, the carriers, the paperwork and the follow-through, that's the profession. Brokering's one of your tools. It isn't the whole toolbox.

Keep that in your mind as you read. I'm not asking you to get a certificate. I'm asking you to learn a trade.

BOTTOM LINE

- Authority is legal permission. The business is the deals, and the people behind them.
- Learn first, build capacity, then go to the shipper.
- Holding your own authority or joining a firm are both real paths. Think through the cost before you commit.

CHAPTER 4

IS THIS FOR YOU?

Some honest questions before you spend a dollar

4

I'm not going to hand you a personality quiz. Sit with these questions on your next break and answer them straight. Write the answers down. Nobody has to see them.

Can you pick up a phone and ask? Brokering is talking to people. If you can't get a dispatch agreement signed, how are you going to be a broker? You've got to be willing to call, ask, hear no and call the next one. Dealmakers communicate. Everything else in this book comes after that.

Can you keep your word when it costs you? A carrier's going to haul a load because you said they'd get paid. A shipper's going to tell her boss the truck's coming because you said it was. There'll be days when your word costs you money, and you'll keep it anyway.

Can you handle paperwork? You've spent years handing paper to someone else. On this side, the paper's yours. Every load has a record, and the rules say what's on it. If you hate this part, you'll need somebody who doesn't.

Can you wait for your money? I'm going to show you the cash gap in Chapter 6. It catches people. If every dollar you've got is already spoken for, you're not ready to carry a brokerage yet. That's fine. It's a thing you can fix.

Is somebody at home on board? You're adding hours. If there's somebody who counts on you, have that talk before you start.

What are you willing to invest in yourself? I ask every student that. I don't only mean money. It takes time, too, learning things nobody ever taught you, on evenings when you'd rather be asleep.

WHAT IF YOU CAME UP SHORT?

Good. Now you've got your list. A gap isn't a verdict. Don't know how to read a rate? That's learnable. Afraid of the phone? It gets easier with every call. Short on cash? Then you start as an agent, or you start by learning, and you stack money while you do it.

Don't quit your daytime job just yet. I mean that. Nothing in this book asks you to park the truck tomorrow. You're adding a skill while the truck's still paying the bills.

And if you answer all this honestly and decide brokering's not for you, that's a good answer too. You'll still be a sharper carrier for having looked. You'll know what the broker on the other end of the phone is thinking, and that's worth money every time you negotiate.

BOTTOM LINE

- The real requirements: you'll talk to people, keep your word, handle paper and wait for money.
- A gap is a list of things to learn.
- Don't quit your daytime job just yet.



PART TWO

BRICK BY BRICK

The paperwork, the shop, the carriers, the deal, and how you run two jobs without dropping either one.

CHAPTER 5

GETTING LEGAL

Two doors in, and what each one costs

5

Let's get this out of the way first, because it's the part with teeth.

You can't take money for arranging freight without broker authority, or without working under someone who has it. Federal law, 49 U.S.C. 14916, says a person may provide brokerage services only with registration and the required bond or trust in place. It also carries a civil penalty of up to $10,000, and you can be on the hook to whoever got hurt. You don't "help out a buddy" for a cut of the load. Not one time.

There are two doors in.

DOOR ONE: JOIN A FIRM

You can work as an agent for a licensed brokerage. Their authority, their bond, their insurance, their payments to carriers. You bring the relationships and work the freight, and you share the commission under a written agreement.

Say an agreement splits a $250 commission sixty-forty, which I'm making up for the example. You keep $150. The firm keeps $100, and it carries the authority, the bond and the carrier payments.

For a driver starting out, I like this door. You learn on someone else's systems, you don't front the carrier's money, and you find out whether you like the work before you buy anything. Read the agreement before you sign it, though. Who owns the customers if you leave? That's the question people forget to ask. Have an attorney look at it.

Agents don't work under their own broker authority. You show the firm's name, and you do what its agreement says.

DOOR TWO: YOUR OWN AUTHORITY

Here's what you're looking at, and I want you to check FMCSA's own site the day you apply, because this stuff changes.

- **The application.** You apply to FMCSA, the Federal Motor Carrier Safety Administration, for property broker authority. You'll hear it called the OP-1. FMCSA has been moving registration to a new system called Motus, so go by what its site says that day.
- **The fee.** $300, and you don't get it back. You get an MC number.
- **The bond or trust.** $75,000. That's a surety bond, form BMC-84, or a trust, form BMC-85. It's federal, under 49 CFR 387.307.
- **The process agent.** A BOC-3 filing names someone in each state who can accept legal papers for you.
- **UCR.** That's the Unified Carrier Registration, a yearly federal-program fee. Brokers pay it too.
- **The wait.** FMCSA's page says about four to six weeks.

A word on that bond, because people misunderstand it. You don't pay $75,000. You pay a surety company a yearly premium. In my experience, it runs about $1,000 a year if you've got good credit, and it can run a lot more if you don't. Get real quotes.

> **You don't pay $75,000. You pay a yearly premium, and your name stands behind the rest.**

And it isn't insurance for you. It's there so a carrier or shipper has somewhere to go if a broker doesn't pay. If the surety pays out, expect it to come back to you for the money. Read what you sign.

KEEP YOUR TWO HATS SEPARATE

If you've got motor carrier authority, your broker authority is a separate registration. You can hold both, and plenty of companies do. Keep them straight:

- **Know who has the load.** When a shipper gives you a load and your own truck hauls it as the carrier, that's a carrier load. A motor carrier arranging freight it's authorized to haul and has legally bound itself to haul isn't brokering it (371.2). Don't paper your own freight as brokered.
- **Show your real name.** A broker may only advertise and operate under the name on its registration, and can't present itself as a carrier (49 CFR 371.7). When you're brokering, say broker.
- **Keep the record.** The rule's in 49 CFR 371.3. It says what has to be on the record of each brokered load. You keep those records three years, and each party to the deal has a right to look at the record.
- **Keep the money separate.** Separate bank accounts, separate books. Your accountant will thank you.

IF YOU DRIVE FOR SOMEBODY ELSE

Read this slowly, company drivers. Your shipping contacts came to you through your employer's trucks. Using your employer's time, truck or customers to build your own brokerage can get you fired or sued, depending on what you signed. Read your agreement. Talk to an attorney if it says anything about customers or side work. Going to the same dock on your own time, about different freight, is a different conversation. Have it with a lawyer before you have it with the shipper.

BOTTOM LINE

- No authority and no firm means no taking money for arranging freight. Period.
- An agent works under a firm. Your own authority means $300, a $75,000 bond or trust, a BOC-3, UCR and some weeks of waiting.
- Carrier and broker are separate. Keep the names, the money and the records apart.

CHAPTER 6

SETTING UP YOUR SHOP

You don't need an office. You need a few things that work.

I've got good news on this one. Nobody's coming to look at your office. You could run this from a kitchen table and a sleeper berth. Here's what you do need.

A real business, on paper. Register your company with your state. Get your tax ID. Talk to an accountant before your first load, not after your first tax bill. Pick a name you can live with, because that's the name on your authority and that's the only name you can use.

A separate bank account. Don't run freight money through your personal checking. Day one.

A way to run a load. Rate confirmations, carrier packets, load records and invoices. You can start small. What you can't do is keep it in your head or on the back of a fuel receipt. Federal rules say what record you need on every load.

Insurance. The bond's what FMCSA requires for your authority. Beyond that, shippers will often ask for more. General liability and contingent cargo are two you'll hear about. I'm not your insurance agent, so go talk to one who knows brokers.

An email that looks like a business. You'd be surprised. In this business, it's email nine times out of ten. A shipper says, "Send me your information." Don't send it from an address that sounds like your CB handle.

An attorney you can call. Your shipper agreement and your carrier agreement should come from somebody who knows transportation law. Don't copy one off the internet and hope.

THE PART THAT CATCHES PEOPLE: THE CASH GAP

If you only remember one thing from this chapter, make it this.

Look at Ray's load again. The shipper pays $1,400. The carrier hauls it for $1,250. Say the shipper's terms are 30 days from the delivery paperwork. Now say Ray offers carriers quick pay, in about two days for a small fee, because he knows what it's like waiting on your money.

The truck delivers on Wednesday. By Friday, Ray has paid out most of that $1,250. The shipper's $1,400 comes about a month later.

That's one load. Now run five a week.

> **The more freight you move, the more of your own cash is out on the road.**

Brokers go under with plenty of freight on the books, because the money's coming next month and the carriers need paying this week. And the carrier's still got to be paid even if the shipper pays late.

So you need money in the bank, more than the bond. How much depends on your loads and your terms, so work it out on paper before you book one. Factoring companies will advance money on your invoices for a fee. Understand that fee before you use it. And check every new shipper's payment record before you carry their freight, because a shipper who doesn't pay is your problem now.

BOTTOM LINE

- Start lean: a business on paper, a separate account, a way to run a load, insurance, a real email and an attorney.
- You pay carriers before shippers pay you. That gap is what closes young brokerages.
- Work out your cash on paper before your first load.

CHAPTER 7

CARRIERS FIRST

The carrier is the personal relationship

7

Ask a new broker what comes first and they'll say the shipper. Shipper, shipper, shipper.

I teach it the other way. It's a catch-22. You have to have carriers before you can start going to the shipper. Nobody gives freight to a broker with no trucks, and a broker who gets freight with no trucks starts making promises he can't keep.

In some ways it's harder to get a carrier than a shipper. The carrier is the personal relationship. The shipper starts as an ordinary one, and it can become extraordinary if you build into it.

Here's where you've got it easier than anybody. You speak carrier. When you call a small trucking company and say, "I run one myself, I know what your week looks like," that owner can hear it in about a minute. A person who learned this in a classroom can't fake that.

YOUR BENCH

A bench is the group of carriers you know, have checked, and can call when freight comes in. Like a team's bench in sports. When a load comes, somebody's ready.

Here's my standard before you broker: four to six carrier companies, about twenty trucks. That's a teaching standard, not a law. No rule says twenty. It's the point where you can tell a shipper, "I've got trucks in your area," and mean it.

Why not one carrier? One truck breaks down, one driver goes home, one carrier takes a different load. Then you've made a promise with nobody to keep it.

DO ONE THING

Pick one kind of trailer. If you've pulled a dry van for ten years, your bench is dry vans. One trailer means one set of shippers, one set of lanes, one set of rules. When a shipper calls, every truck on your bench fits the freight.

When you're known for one thing, you become the broker people call for it. Do one thing and do it the best. You can add a second thing when you've outgrown the first.

CHECK EVERY ONE, EVERY LOAD

Being a driver doesn't mean you can skip the checking. Before a carrier goes on your bench, read its record on FMCSA's public sites: authority active, insurance on file, safety record read line by line. Check again before the load, because a carrier that was fine last month may not be today, and freight fraud is real. People copy other companies' names and numbers. When something's off, call the number you already have on file, not the one in the email.

Write your standards down, so you check every carrier the same way on your busiest day. That's your policy, and it's yours to set. Put your name on a bad carrier and it's your name the shipper remembers.

KNOW THEM AS PEOPLE

A bench isn't a list of MC numbers. Know the owner's name. Know how many trucks, where they're based, which lanes they like, which they won't run and how they want to be reached.

And pay them on time. Do you know what you've wanted from every broker you've ever worked with? Do that. Pay what you said, when you said. Answer the phone. Tell them what's going on at the dock before they get there. Word gets around among truckers faster than any ad you'll ever run.

BOTTOM LINE

- Carriers come before shippers, because you can't promise a truck you don't have.
- My standard before you broker: four to six companies, about twenty trucks, one kind of trailer.
- Check every carrier every time. Pay what you said, when you said.

CHAPTER 8

THE DEAL

A license doesn't pay you. This does.

8

This is the chapter the whole book's been walking toward. Everything comes down to two conversations, one on each side of the load.

TALKING TO THE SHIPPER

When I called shippers as a broker, it got hard. Thousands of new brokers call them, and they get tired of the phone. When the call comes from the carrier side, they listen, because they've got to have a truck to move their freight. In my experience, when you call from the carrier perspective, about seven out of ten are interested, if the trucking company qualifies.

What I used to do is go there. When I found a plant that ships, I'd stop in. I'd say:

> **Listen, I've got some trucks in the area. Is there someone here I can speak with?**

That's it. You're not going in to land a sales pitch, and you're not going in as a so-called broker. You're opening a conversation. By doing that, I opened the doors to four or five shippers.

Hear the difference between these two:

ASKING	BRINGING
Can I have a chance?	I've got capacity in your area.

The first one's asking for a favor. The second one's bringing a shipper something she needs. And you can only say the second one if your bench is real, which is why we did Chapter 7 first.

The person on the dock isn't always the one who decides. Ask who books the trucks. Is it the shipping office, a traffic manager, a corporate office somewhere else? Write down the name, the role and the date. A warehouse storing somebody else's goods may not decide anything.

By the stroke of a pen, a shipping manager can change your life. Treat that person accordingly. Be on time, tell the truth and call before she has to call you. And never promise a truck you don't have, because she'll only need to hear that once.

TALKING TO THE CARRIER

You've been on the receiving end of this call. Don't forget it.

Know the load before you dial: pickup and delivery, weight, commodity, appointment times, how it loads and what you're paying. Don't make a carrier pull it out of you.

Pay fair. Here's my line. Twenty percent or more is too much. That's my practice, not a law, and ultimately what you keep is your decision. But when you keep too much, the carrier can't stay alive, and a dead carrier hauls nothing for you next week.

Work out the percent every time. Take your commission, divide it by what the shipper pays, and times it by a hundred. Ray's $150 on a $1,400 load is about 10.7 percent.

KNOW THE MARKET

How do you know what to charge? You read the market: load boards, rate tools, and what your own carriers tell you. There's more room in a rate than people think. I've had a broker offer me a thousand dollars on a load. I said we won't touch it under thirteen hundred, and he agreed in a second. That tells you how much room was sitting there.

So don't walk in blind on either side. And be ready to walk away. A bad load costs more than no load. If the rate can't pay the carrier and keep you in business, say so kindly and let it go.

PUT IT IN WRITING

Every load gets a rate confirmation, signed, before the truck moves. Every shipper gets an agreement. Every carrier gets an agreement. Handshakes get you in the door, and paper keeps you out of court.

One more line, and I don't want you to ever cross it. Federal law says a broker may not coerce a driver to break the safety rules (49 CFR 390.6). You know what that call sounds like. You've gotten it. Never be the one making it. If the appointment can't be made legally, call the receiver and move the appointment.

BOTTOM LINE

- Go to the shipper with capacity, not a request. "I've got trucks in the area" opens doors.
- My line: twenty percent or more is too much. Work the percent on every load.
- Read the market, put it in writing, and be ready to walk away.

CHAPTER 9

GETTING KNOWN

You've got a moving billboard

9

Most of your first shippers are going to come from where you've already been. But people will look you up before they call you back, and if they find nothing, you're a person with a phone.

I wrote a whole book on how to fix that, called Paint Your Business Into the Picture. It's in the same library you got this one from. Here's the short version. I call it the Bob Ross Effect. People need to see the person before they trust the person, so you paint a picture of who you are and what you do, a little at a time, where anybody can find it.

- **Your name and your email.** The first two strokes.
- **One good page.** Who you are, what you do, what trailer, what region, and how to reach you. Every word true.
- **A Google listing, if you qualify.** Read Google's rules first. An online-only business doesn't qualify.
- **One social channel you'll actually keep up with.** Post weekly about what you know. You've got more real stories than anybody writing about trucking from a desk.

Be known in your own state first. Your bench and your lanes are there. The whole country's too big to be known in. One state isn't.

YOUR TRAILER IS A BILLBOARD

Here's one a lot of people miss, and I've liked it for a long time. If you own your equipment, you've got a billboard that goes to the exact places your customers are. You're at a dock, the manager sees your name and a line that says you broker freight, and now she's asking you a question before you've said a word.

Two rules on that, though. It's got to be your own equipment, and it's got to be true. The truck still has to show the carrier's name and number the way the federal marking rules require, and if your trailer talks about brokerage, it needs your registered broker name and it needs to say broker. Under 371.7, a broker can't look like a carrier. Have somebody who knows the rules check your wording before you pay for the lettering.

THE DOCK IS MARKETING

Your best advertising's the same thing it's always been. You show up on time. You keep a clean truck. You treat the dock crew like people. You hand the shipping manager a card when she asks a question.

That's what they'll remember when somebody asks them who they know.

BOTTOM LINE

- People look you up before they call. Give them something true to find.
- Be known in your own state first.
- Your trailer and your conduct at the dock are advertising. Use them, and keep them within the rules.

CHAPTER 10

TWO JOBS, ONE DRIVER

How you do this without hurting yourself or anybody else

10

I've seen books tell you to run your brokerage while you're behind the wheel. I'm not going to, and here's why.

Federal law bans hand-held phones while you're driving. That's 49 CFR 392.82, and it covers sitting in traffic too. Texting's out under 392.80. A load's not worth your CDL, and it's not worth somebody's life. When you're rolling, you're driving. The deal can wait until you're parked.

Your brokering time can count on your log. Here's one a lot of drivers don't know. The federal definition of on-duty time, in 49 CFR 395.2, includes compensated work for a person who isn't a motor carrier. So work you do for pay can count as on-duty time, and that takes away from your available hours. Don't log rest in the sleeper berth while you're working the phones for money. How your own situation is treated is a question for your safety person or a transportation attorney. Ask before you start, not after an inspection.

That sounds like bad news, and it does make this harder. It's why I don't draw this as a person running both jobs at full speed. So how do people do it?

WHAT ACTUALLY WORKS

Plan it around your clock. Home time, days the truck's in the shop, weeks you've taken off. Be careful with your required rest, too. If paid work counts as on duty, it can break a 10-hour break or a 34-hour restart, so get that answer before you pick up the phone. Plan your hours like you plan your fuel.

Use the mornings. I've watched 5 AM load boards for a lot of years, and I'll tell you what's on them: breadcrumbs. Other people's leftovers. So don't wait on the board. Use your early hours for research and carrier calls, and log that time the way the rules say.

Go where you already are. A plant that ships is a plant you can ask about. Once you're parked, write down what you saw. Who ships what, who decides, what door. Then follow it up when your time's your own. One shipper always leads to another. A plant needs things brought in to make what it makes, and what it makes goes somewhere.

Get a teammate. This is the one I'd push hardest. The person who does this best usually isn't doing it alone. If you've got a spouse, a partner or a grown kid who can work a phone, let them learn it with you. You keep the truck moving and bring back what you see at the docks. You be the king or queen of the research side, and let the other one work the phones. Or put the truck in somebody else's hands, a dispatcher or a good driver, and you move to the desk. A lot of drivers end up there sooner or later.

Start small and stay small for a while. One shipper you can serve beats ten you can't. One lane. One trailer type. Four or five real shippers beat a hundred strangers.

KEEP SOMETHING FOR YOURSELF

A tired driver's dangerous. Don't take your broker work out of your sleep. Your hours rules exist for a reason. If the brokerage is cutting into your rest, that's your sign to bring somebody in or slow down. You'll last longer, and so will everyone sharing the road with you.

BOTTOM LINE

- When the truck's rolling, you're driving. No hand-held phone, no deals.
- Paid work can count as on-duty time. Get the answer for your situation before you start.
- A teammate or a dispatcher is usually how this really works.



PART THREE

THE ROAD AHEAD

Sit in the shipper's chair. Sit in the carrier's cab. Then look down the road.

CHAPTER 11

THROUGH THE SHIPPER'S EYES

11

What she's thinking when your name comes up

You've met a lot of shipping managers. Most of the time you've caught them in the middle of something. Let's look at her day.

She's got a production line and a boss. When a truck doesn't show, the line backs up, a customer calls, and somebody wants to know why. She's not thinking about your rate first. She's thinking, "Is this going to come back on me?"

Here's what she's actually buying.

The truck that shows up. On time, with the right equipment. Nothing else you offer matters if this fails.

A price she can defend. She doesn't need the cheapest. She needs one she can explain. Give her a clean rate with no surprises at invoice time.

Freight that gets there the way it left. She wants to know who's hauling it, that they've been checked, and that their insurance is on file.

No surprises. Trucks break down. Things go wrong. She can live with bad news. What she can't live with is finding out from her customer. Call her first, every time, even when it's not your fault.

Someone who answers. You'd be surprised how far this goes.

HOW A DRIVER WINS HERE

You know things she wishes every broker knew. You know her dock's tight and a 53-footer can't get in after three. You know her second-shift crew loads slowly. You can tell her, "If we pick up at seven instead of nine, the truck beats Atlanta traffic." A person who's never driven doesn't think of that.

Know her freight. Know her lanes. Follow the trail: who sends her what she needs, and where does what she makes go next? Over time, you stop being one more broker. You're the one she calls.

And be honest about who you are. Don't let her think she's getting your truck when she's getting someone else's. Tell her you're brokering. It's the law, and it's how you keep her.

Some shippers will work with any broker from anywhere, and post their own loads cheaper than brokers can. There's nothing there for you. Be polite and keep going. You're looking for the ones who care who shows up.

BOTTOM LINE

- A shipper is buying the truck that shows up, a price she can defend and no surprises.
- Your driver's knowledge of her dock and her lanes is what the next broker can't copy.
- Call her first with bad news, and always tell her you're brokering.

CHAPTER 12

THROUGH THE CARRIER'S EYES

12

You already know this one. Don't forget it.

Here's the danger. The day you get a little money on the broker side, you can forget what it was like. Don't let that happen to you.

You know what a small carrier's week looks like. Fuel on Monday, a repair on Wednesday and an insurance payment on Friday. Waiting on a broker who said "the check's in the mail." A good week can be one bad invoice away from a bad month.

So be the broker you wanted to find.

- **Pay what you said, when you said.** That's the whole reputation, right there.
- **Tell the truth about the load.** If it's a live unload that takes four hours, say so. If the receiver's rough, say so.
- **Pay what you owe when the shipper holds the truck.** Put your detention terms in writing, and get the in and out times on the signed paper. If the shipper cancels after you've sent a truck, keep your word to the carrier.
- **Help when it goes wrong.** Get the facts and the photos. Keep the shipper informed. Help everyone find the right paper.
- **Keep your own fees honest.** Don't take a cut you'd have been mad about when you were hauling it.

BROKERS AND CARRIERS NEED EACH OTHER

I started this book with a driver mad at a broker. Here's the other half of that. They can't live without us, and we can't live without them. A small carrier without a good freight source is a truck looking for the next load board. A broker without a good carrier is a person making promises.

When you've been on both sides, you don't have to pick. You know the shipper's got to have the truck, the carrier's got to get paid, and your job's to make both of those happen on the same load, again and again.

Do that for a while and small carriers start calling you. That's what you're building. And it's what keeps small trucking companies alive, which is the reason I do any of this.

BOTTOM LINE

- A small carrier's week can be one bad invoice away from a bad month. Don't be that invoice.
- Pay on time, tell the truth about the load, keep your word when things change.
- Steady work with a fair broker is what keeps a small carrier alive.

CHAPTER 13

WHAT'S COMING

13

Look down the road, then get back to work

Everybody wants to talk about the future of trucking. Here's what I see. These are my opinions, and you should weigh them like opinions.

Freight research never stops. Markets turn, and so do lanes and seasons. What paid last spring might not pay this fall. You've got to keep looking at who's shipping what, and where, every week. It's labor, and there's no shortcut to it. I've spent years behind the computer doing it. I work smart, though. I know the equipment I'm working with and the industry I want, and I research that, in one region.

Do one thing. I've seen books tell you to diversify and offer everything to everybody. I think that's backward for a small operator. You get strong in one kind of freight in one region. When you've got more than you can handle, then you add. A soft market in your lane is a real risk, so know your numbers, stay close to your customers and keep your cash in order.

The machine's getting better. AI can do a lot of paperwork, research and writing for you, and it's going to do more. I use it myself. It doesn't stand on a dock, it can't look a shipping manager in the eye, and it doesn't know the second door's the one that works. Let it do the brushwork. You make the deals. And you check what it gives you, because your name's on it.

Driverless trucks. They're coming in some places, on some lanes, sooner or later. I can't tell you when. I can tell you a person who understands freight, shippers and carriers has something to offer no matter what's pulling the trailer. One more reason not to have all your income tied to one wheel.

The rules. I expect more scrutiny on who's a real broker and who's a real carrier, with fraud where it is. The people who do it the right way, with real authority, clean records and checked carriers, have nothing to worry about from that. Stay current. Check FMCSA yourself. Don't take your compliance from a Facebook group, and don't take it from this book either. A rule can change after a page gets printed.

Here's what I'm sure of. Freight will still need to move, shippers will still need a truck that shows up, and carriers will still need somebody who pays. Somebody's going to stand in the middle of that. I'd rather it be someone who knows what the job's really like.

BOTTOM LINE

- Keep researching, every week, one region and one kind of freight.
- Let the machine do the brushwork. You make the deals and check its work.
- Rules change. Check the source yourself.



PART FOUR

DRIVERS I'VE DEALT WITH

Five different people, five different ways in.

CHAPTER 14

FIVE DRIVERS

Examples I've dealt with

14

I could give you more rules. I'd rather show you what this looks like with real people. Here are five drivers I've dealt with. No two of them did it the same way, and I want you to notice that. Their results are theirs. They aren't a promise of yours.

SARAH: SHE KNEW HER FREIGHT

Sarah spent years running long haul. She was organized, the kind of person who knows where everything is, and she had a knack for planning a route. She built her brokerage around one thing, temperature-controlled deliveries.

She understood what drivers need, so she kept loyal carriers. And she was efficient, which is what grocery people care about. Major grocery chains became clients.

What to notice: She didn't try to move everything. She picked one kind of freight and went deep on it. Do one thing.

MARK: HE KNEW EVERYBODY

Mark's a people person. He had years of connections from the road, and he didn't leave them there. He kept showing up at truck stops, online forums and industry events, and his network kept getting bigger. His brokerage runs regional hauls, and it's full of drivers who like dealing with him personally.

What to notice: Mark's bench came from talking to people. The carrier is the personal relationship, and he's lived that. If the phone scares you, spend some time around somebody like Mark.

MARIA: SHE HATED EMPTY MILES

Maria was a younger driver who loved technology. She looked at empty miles the way every driver does, and she saw it as a problem data could help with. She developed her own software for matching loads and cutting empty miles, and that brought her shippers and carriers who cared about wasting less.

What to notice: You don't have to build software. What Maria did was take a problem she'd felt in the seat and go solve it. What's the problem that's made you the maddest out there? Somebody'll pay to have it fixed.

DAVID: HE GAVE PEOPLE A SECOND CHANCE

David nearly got driven off the road by his own personal troubles. He came through it, and when he built his brokerage, he built it around helping drivers who were trying to get back on their feet. He offers training, flexible schedules and support, and the drivers around him stick with him because he understands what they've been through.

What to notice: Having a reason matters. Trucking companies and brokers are ordinary, and there are tens of thousands of them. Why would somebody work with you instead of the next one? David can answer that in one breath. Can you?

ELENA: SHE TOOK THE HARD FREIGHT

Elena saw that oversized and specialized cargo was underserved. It's demanding freight with a lot of rules. She learned the regulations and the safety requirements, and she found carriers with the right equipment. People who have that kind of freight go to her.

What to notice: Hard freight scares off a lot of people, and that's why there's room. Don't start here unless you know it, because the mistakes are expensive. But know that the harder the thing is to learn, the fewer people you're up against.

WHAT THEY ALL HAD IN COMMON

Go back and read those again. They all started in the seat. They all used something they already knew. Every one of them picked a lane, a kind of freight or a kind of person, and stuck with it. And every one of them treated carriers right.

None of them waited for someone to give them permission. Now you've got the same question they had.

BOTTOM LINE

- There's no one way in. Your way starts with what you already know.
- Pick something specific, and be known for it.
- Their results aren't a promise of yours. The method is what you can copy.

CHAPTER 15

THE FIRST GEAR IS KNOWLEDGE

15

Where you go from here

All right. You've read it. Now what?

Here's the first thing to do, and it doesn't cost a dollar. On your next trip, carry a notebook. At every dock, once you're parked, write down three things. What ships from here. Who decides. What kind of trailer it takes.

Do that for a month and you'll have more real freight research than most new brokers start with. And you'll have started.

Then learn the trade. That's what Freight University's for. Our courses are free, and they're built in the order I've laid out in this book. Learn what it takes to keep a small carrier alive. Learn dispatching first, in PLSP Dispatcher, working for a carrier and running real loads on paper. Then go through PLSP Broker, where you'll build your bench, run the deal, work the cash gap and do the paperwork, with me talking to you the whole way.

You don't have to decide about authority today, and you don't have to quit anything. You're already standing in the room. Why waste that?

Because on this road, the first gear is always knowledge.

I'll see you in class.

MICHAEL THOMAS

Founder — Logistical Forwarding Solutions | Freight University

SOURCES AND NOTES

These are the sources behind the rules in this book. Rules change, so check the current version yourself before you act. This book is education, not legal or tax advice. Talk to a transportation attorney and an accountant about your own situation.

FMCSA, Get Authority to Operate: Broker. Application, $300 fee, MC number, $75,000 bond or trust, BOC-3, processing time. fmcsa.dot.gov

49 U.S.C. 14916. Brokerage only with registration and the required bond or trust; civil penalty.

49 CFR 371.2. Definition of a broker, and when a motor carrier isn't one.

49 CFR 371.3. Records of brokered loads, three-year retention, parties' right to review.

49 CFR 371.7. Broker advertising, registered name, not representing itself as a carrier.

49 CFR 387.307. Property broker surety bond or trust, BMC-84 and BMC-85.

49 CFR 390.6. Coercion of drivers prohibited.

49 CFR 390.21. Marking of commercial motor vehicles.

49 CFR 392.80 and 392.82. Texting and hand-held phones while driving.

49 CFR 395.2. Definition of on-duty time, including compensated work for a person who isn't a motor carrier.

Everything marked as my practice or my opinion is exactly that. The twenty percent line and the four-to-six carriers, twenty-truck bench are my teaching standards, not laws.

Ray and his loads are made up for training. The pictures in this book are AI-generated and show nobody real.

YOU BACK INTO THE DOCKS. YOU SHAKE THE HANDS.

You're already standing where most brokers spend years and thousands of dollars trying to get. You know the dock, the freight and the person who decides.

In this book I tell you what that's worth, what a broker actually does, what it costs, where people get in trouble and how to start from where you're sitting right now. I won't tell you what you'll make. I've got 25 years in freight, and I'll tell you straight.

Don't quit your daytime job just yet. Start here.



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